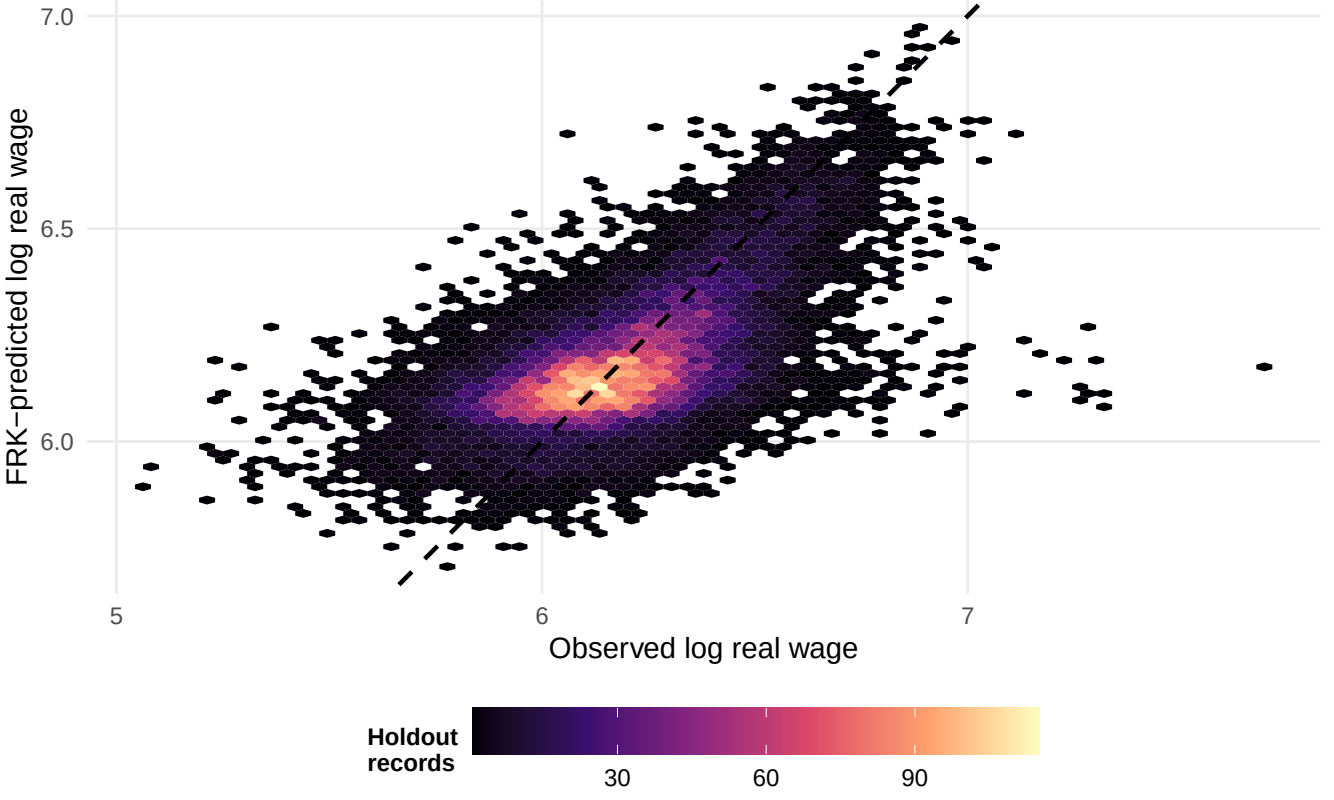
Figure 5: Out−of−Sample Prediction Accuracy

Observed versus predicted log real wages; RMSE log = 0.18 | Correlation = 0.634



Dashed line denotes perfect prediction.